

From: Roman Segal

RE: Law 621—Last Business Law Speech

Date: February 25, 2026

Good day everyone,

It is an honor to stand in front of a room full of people who are building something—or thinking seriously about building something. Some of you are launching a side hustle out of your apartment. Some of you are drafting business plans that you hope will one day rival a Fortune 500 company. My job this morning is not to tell you what kind of business to start, how to market it, or how to motivate your team. My job is to talk about law—the architecture that will either protect your dream or quietly dismantle it. There are ten foundations that I will touch on today; they are:

- 1. The structure you choose shapes the risk you bear**
- 2. Corporations and LLCs: Limited Liability with Structure**
- 3. Ownership, Control, and Fiduciary Duties**
- 4. Financing Is Legal Strategy**
- 5. Securities Law: The Invisible Tripwire**
- 6. Tax Structure Is Strategic**
- 7. Agency Law Never Leaves You**
- 8. Think about exiting before you enter.**
- 9. Compliance Scales with Success**
- 10. And Final Thought: Law is risk allocation.**

Let me begin with the first foundational decision every entrepreneur must make: choosing a legal structure.

1. The structure you choose shapes the risk you bear.

If you do nothing, if you simply start operating—you are a sole proprietor. That means you and the business are legally the same. If the business is issued, you are sued. If the business cannot pay a debt, your house, car, and savings are exposed.

If you bring in a partner and do not formally organize, you have a general partnership. Partnerships are easy to form—sometimes accidentally—but they come with a powerful legal consequence: **joint and several liability**. Each partner can bind the business. Each partner can be personally liable for the full partnership debt. Not half. Not proportional. The full amount. Partnership law is rooted in agency principles. Every partner is an agent of the firm. That means one partner's contract, tort, or mistake can legally become everyone's problem.

But partnerships also impose fiduciary duties of loyalty, care, and obedience. You cannot secretly compete with your own partnership. A partnership opportunity cannot be appropriated by you. You must account for profits derived from partnership business. Courts describe this duty as requiring the “punctilio of an honor the most sensitive.” Now, contrast that with a corporation or a limited liability company.

2. Corporations and LLCs: Limited Liability with Structure

A corporation is a separate legal entity. It can be sued and sued. It owns property. It enters into contracts. Most importantly, it creates **limited liability**. Shareholders risk only what they invest.

An LLC offers similar limited liability but with greater flexibility. It can be taxed as a partnership or as a corporation. It can be member-managed or manager-managed. It can customize governance in an operating agreement. For many modern startups, an LLC provides liability protection without the rigid formalities of a traditional corporation. But limited liability is a privilege—not a shield for misconduct.

Courts will “pierce the corporate veil” when the entity is abused. If you undercapitalize the business, commingle personal and company funds, cannot observe basic formalities, or use the entity to commit fraud, a court may disregard the entity and hold you personally liable.

Entrepreneurs often believe formation documents are a magic cloak. They are not. They are a framework that must be respected. Hold meetings. Keep records. Maintain separate bank accounts. File required reports. Treat the entity like an entity. If you do not, a court may not either.

3. Ownership, Control, and Fiduciary Duties

In partnerships, ownership and control usually travel together. In corporations, especially publicly held ones, they separate. Shareholders own. Directors set policy. Officers manage.

Directors and officers owe fiduciary duties of care and loyalty to the corporation. The duty of care requires informed, deliberate decision-making. The duty of loyalty prohibits self-dealing and conflicts of interest.

The business judgment rule protects directors from liability for good-faith, informed decisions—even if those decisions later fail. Entrepreneurship requires risk. The law does not punish reasonable risk-taking. But it punishes bad faith, undisclosed conflicts, and personal enrichment at the corporation’s expense. As you grow, governance becomes critical. Clear

bylaws, shareholder agreements, voting arrangements, and buy-sell provisions are not luxuries—they are safeguards against internal collapse.

4. Financing is a Legal Strategy

Every growing business eventually faces a capital question: debt or equity?

Debt—through loans or bonds—means repayment with interest. The advantage? You do not dilute ownership. Do you have a disadvantage? Debt must be paid. Creditors have priority in bankruptcy. Bondholders stand ahead of shareholders in liquidation. Equity—selling stock or membership interest means giving up a portion of ownership. You share profits and sometimes control. But equity does not require repayment. Investors bear risk alongside you.

Preferred stock may carry divided preferences, liquidation preferences, or conversion rights. Venture capital often comes with board seats and veto rights. Term sheets are legal documents with long-term consequences. Capital structure determines who has power when the stakes are highest.

5. Securities Law: The Invisible Tripwire

One of the most dangerous assumptions entrepreneurs make is this: “I’m just raising money from friends.” The moment you sell an ownership interest you may offer security. Federal and state securities laws apply—even to small, private offerings. You must either register the offer or qualify for an exemption.

Misrepresentations, even unintentional ones, can create liability. Failure to disclose material risks can trigger rescission rights—meaning investors can demand their money back.

You do not need to go public to violate securities law. Many small businesses run into trouble because they treated capital raising casually. Raising money is not just a financial event. It is a regulated legal act.

6. Tax Structure Is Strategic

Partnerships and most LLCs are pass-through entities. Income is taxed once at the owner level. Corporations—unless they elect S-corporation status—face double taxation: once at the corporate level, and again on dividends.

But tax is not just about rates. Corporations may deduct certain benefits unavailable to sole proprietors. Loss allocation rules differ. Exit consequences differ.

Structure should align with your long-term plan, not just your first-year profits.

7. Agency Law Never Leaves You

Even if you form a corporation, agency principles still apply. Officers and employees can bind the entity through actual or apparent authority. If you create the appearance that someone can act on behalf of your company, you may be bound by their actions—even if you never allowed them. Titles matter. Representations matter. Silence can matter. Authority must be defined internally and communicated clearly externally.

8. Think about exiting before you Enter

Entrepreneurs focus on launch and neglect termination. What triggers dissolution? What happens if a partner dies? What if a shareholder wants out? Are there buy-selling agreements? Drag-along rights? Tag-along rights?

In bankruptcy, secured creditors are paid first. Then unsecured creditors. Then preferred shareholders. Common shareholders are last. If you do not understand the waterfall of payments, you do not fully understand your risk.

9. Compliance Scales with Success

As your business grows, regulations grow with it. Employment law, tax withholding obligations, licensing requirements, record keeping mandates—all attach regardless of size.

Failure to remit payroll taxes can cause personal liability for “responsible persons.” Limited liability does not protect against everything. Growth multiplies legal exposure. Structure contains it.

10. Final Thought: Law is risk allocation

Entrepreneurship is risky. Law is risk allocation. When you understand fiduciary duties, limited liability, capital structure, securities exposure, authority, and governance, you are not just protecting yourself; you are increasing enterprise value. Investors invest in structures. Buyers buy clarity. Courts respect formalities.

Your idea may be brilliant. Your timing may be perfect. But if your legal foundation is weak, growth will magnify the weakness. So, as you leave here and return to your ventures, ask yourselves:

Who bears the risk?

Who has authority?

Who gets paid first?

What happens if this fails?

What happens if this succeeds beyond expectations?

Entrepreneurship rewards vision. But it sustains discipline. Build boldly. But build legally.